

Back in Omaha, Buffett reconnected with the stock market. He started collecting hot tips from brokers and subscribed to publishing services. He resurrected his price charts and studied books on technical analysis. He applied the McGee point-and-figure system and every other system he could think of, trying to figure out what would work. Then one day, browsing in the local library, he came across a recently published book titled *The Intelligent Investor* by Benjamin Graham. “That,” he said, “was like seeing the light.”<sup>14</sup>

Graham’s treatises on investing, including *Security Analysis* (1934), cowritten with David Dodd, so influenced Buffett that he left Omaha and traveled to New York to study with Graham at the Columbia University Graduate School of Business. Graham preached the importance of understanding a company’s intrinsic value. He believed investors who accurately calculated this value and bought shares below it in price could be profitable in the market. This mathematical approach appealed to Buffett’s love of numbers.

In Graham’s class were 20 students. Many were older than Buffett and several were working on Wall Street. In the evening, these Wall Street professionals sat in Graham’s class discussing which stocks were massively undervalued, and the next day they would be back at work buying the stocks analyzed the night before and making money.

It was soon clear to everyone that Buffett was the brightest student. He often raised his hand to answer Graham’s question before Graham had finished asking it. Bill Ruane, who later cofounded the Sequoia Fund with Rick Cuniff, was in the same class. He recalls that there was an instantaneous chemistry between Graham and Buffett, and the rest of the class was primarily an audience.<sup>15</sup> Buffett’s grade for the class was an A+—the first A+ Graham had awarded in 22 years of teaching.

After graduating from Columbia, Buffett asked Graham for a job but was turned down. At first he was stung by the rejection but later was told that the firm preferred to fill the slots at Graham-Newman with Jewish analysts who, it was perceived, were being treated unfairly on Wall Street. Undeterred, Buffett returned to Omaha, where he joined Buffett-Falk Company, his father’s brokerage. He hit the ground running, eagerly recommending stocks that met Graham’s value criteria. All the while